

STATE OF OKLAHOMA

1st Session of the 60th Legislature (2025)

HOUSE BILL 1335

By: Humphrey

AS INTRODUCED

An Act relating to public retirement systems; defining term; authorizing grant of retirement benefit increase for members of the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the Uniform Retirement System for Justices and Judges, the Oklahoma Law Enforcement Retirement System, the Teachers' Retirement System of Oklahoma, and the Oklahoma Public Employees Retirement System subject to limitation based upon funded ratio; prescribing conditions for retirement benefit increase; authorizing grant of benefit increase; prescribing date for effect of benefit increases; providing for offset; specifying amount of increase; providing for certain comparison of benefit increases authorized by certain statutory provisions; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 49-143.8 of Title 11, unless there is created a duplication in numbering, reads as follows:

A. As used in this section, "funded ratio" means the figure derived by dividing the actuarial value of retirement system assets by the actuarial accrued liability amount of the retirement system

1 using the information reported to the retirement system by its
2 actuary in the annual valuation and which is computed as of a day
3 certain.

4 B. Except as provided in subsection D of this section and
5 except for persons receiving benefits pursuant to Section 49-101 of
6 Title 11 of the Oklahoma Statutes, effective November 1, 2025, the
7 board of trustees of the Oklahoma Firefighters Pension and
8 Retirement System shall grant a four percent (4%) retirement benefit
9 increase to the retired members of the system or their beneficiaries
10 if the funded ratio of the retirement system will be at least eighty
11 percent (80%) after the benefit increase is provided to the eligible
12 retirees or beneficiaries.

13 C. Except as provided in subsection D of this section and
14 except for persons receiving benefits pursuant to Section 49-101 of
15 Title 11 of the Oklahoma Statutes, effective November 1, 2025, if
16 the funded ratio of the retirement system will not be at least
17 eighty percent (80%) after the benefit increase prescribed in
18 subsection B of this section, the board of trustees shall grant a
19 two percent (2%) retirement benefit increase to the retired members
20 of the system or their beneficiaries.

21 D. Any increase in benefits a person is eligible to receive
22 pursuant to repealed Section 49-136 of Title 11 of the Oklahoma
23 Statutes after June 30, 2020, shall be used to offset the increase
24 of benefits provided in this section.

1 E. Effective November 1, 2025, any person receiving benefits
2 pursuant to Section 49-101 of Title 11 of the Oklahoma Statutes
3 shall each receive an increase in benefits of four percent (4%) if
4 the funded ratio of the retirement system will be at least eighty
5 percent (80%) after a benefit increase is provided to the eligible
6 retirees or beneficiaries to:

7 1. Seven Dollars and eighty-three cents (\$7.83) per year of
8 credited service, not to exceed thirty (30) years of service if the
9 person's retirement benefit was not adjusted pursuant to the
10 provisions of Section 49-143.7 of Title 11 of the Oklahoma Statutes;

11 2. Seven Dollars and ninety-nine cents (\$7.99) per year of
12 credited service, not to exceed thirty (30) years of service if the
13 person's retirement benefit was adjusted pursuant to Section 49-
14 143.7 of Title 11 of the Oklahoma Statutes from a base amount of
15 Seven Dollars and sixty-eight cents (\$7.68); or

16 3. Eight Dollars and fourteen cents (\$8.14) per year of
17 credited service, not to exceed thirty (30) years of service if the
18 person's retirement benefit was adjusted pursuant to Section 49-
19 143.7 of Title 11 of the Oklahoma Statutes from a base amount of
20 Seven Dollars and eighty-three cents (\$7.83).

21 F. If the funded ratio of the retirement system will not be at
22 least eighty percent (80%) after the benefit increase prescribed in
23 subsection E of this section, effective November 1, 2025, any person
24 receiving benefits pursuant to Section 49-101 of Title 11 of the

Oklahoma Statutes shall each receive an increase in benefits of two percent (2%) to:

1. Seven Dollars and sixty-eight cents (\$7.68) per year of credited service, not to exceed thirty (30) years of service if the person's retirement benefit was not adjusted pursuant to the provisions of Section 49-143.7 of Title 11 of the Oklahoma Statutes;

2. Seven Dollars and eighty-three cents (\$7.83) per year of credited service, not to exceed thirty (30) years of service if the person's retirement benefit was adjusted pursuant to Section 49-143.7 of Title 11 of the Oklahoma Statutes from a base amount of Seven Dollars and sixty-eight cents (\$7.68); or

3. Seven Dollars and ninety-nine cents (\$7.99) per year of credited service, not to exceed thirty (30) years of service if the person's retirement benefit was adjusted pursuant to Section 49-143.7 of Title 11 of the Oklahoma Statutes from a base amount of Seven Dollars and eighty-three cents (\$7.83).

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 50-136.10 of Title 11, unless there is created a duplication in numbering, reads as follows:

A. As used in this section, "funded ratio" means the figure derived by dividing the actuarial value of retirement system assets by the actuarial accrued liability amount of the retirement system using the information reported to the retirement system by its

1 actuary in the annual valuation and which is computed as of a day
2 certain.

3 B. Except as provided in subsection D of this section, the
4 board of trustees of the Oklahoma Police Pension and Retirement
5 System shall grant a four percent (4%) retirement benefit increase
6 effective November 1, 2025, to the retired members of the system or
7 their beneficiaries if the funded ratio of the retirement system
8 will be at least eighty percent (80%) after the benefit increase is
9 provided to the eligible retirees or beneficiaries.

10 C. Except as provided in subsection D of this section, if the
11 funded ratio of the retirement system will not be at least eighty
12 percent (80%) after the benefit increase prescribed in subsection B
13 of this section, the board of trustees shall grant a two percent
14 (2%) retirement benefit increase effective November 1, 2025, to the
15 retired members of the system or their beneficiaries.

16 D. Any increase in benefits a person is eligible to receive
17 pursuant to repealed Section 50-120 of Title 11 of the Oklahoma
18 Statutes, after June 30, 2020, shall be offset by the increase
19 provided by this section.

20 SECTION 3. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 1104L of Title 20, unless there
22 is created a duplication in numbering, reads as follows:

23 A. As used in this section, "funded ratio" means the figure
24 derived by dividing the actuarial value of retirement system assets

1 by the actuarial accrued liability amount of the retirement system
2 using the information reported to the retirement system by its
3 actuary in the annual valuation and which is computed as of a day
4 certain.

5 B. The board of trustees of the Uniform Retirement System for
6 Justices and Judges shall grant a four percent (4%) retirement
7 benefit increase effective November 1, 2025, to the retired members
8 of the system or their beneficiaries if the funded ratio of the
9 retirement system will be at least eighty percent (80%) after the
10 benefit increase is provided to the eligible retirees or
11 beneficiaries.

12 C. If the funded ratio of the retirement system will not be at
13 least eighty percent (80%) after the benefit increase prescribed in
14 subsection B of this section, the board of trustees shall grant a
15 two percent (2%) retirement benefit increase effective November 1,
16 2025, to the retired members of the system or their beneficiaries.

17 SECTION 4. NEW LAW A new section of law to be codified
18 in the Oklahoma Statutes as Section 2-305.13 of Title 47, unless
19 there is created a duplication in numbering, reads as follows:

20 A. As used in this section, "funded ratio" means the figure
21 derived by dividing the actuarial value of retirement system assets
22 by the actuarial accrued liability amount of the retirement system
23 using the information reported to the retirement system by its
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1 actuary in the annual valuation and which is computed as of a day
2 certain.

3 B. Except as provided in subsection D of this section, the
4 board of trustees of the Oklahoma Law Enforcement Retirement System
5 shall grant a four percent (4%) retirement benefit increase
6 effective November 1, 2025, to the retired members of the system or
7 their beneficiaries if the funded ratio of the retirement system
8 will be at least eighty percent (80%) after the benefit increase is
9 provided to the eligible retirees or beneficiaries.

10 C. If the funded ratio of the retirement system will not be at
11 least eighty percent (80%) after the benefit increase prescribed in
12 subsection B of this section, the board of trustees shall grant a
13 two percent (2%) retirement benefit increase effective November 1,
14 2025, to the retired members of the system or their beneficiaries.

15 D. Any increase in benefits a person is eligible to receive
16 pursuant to subsection B, C, or D of Section 2-305 of Title 47 of
17 the Oklahoma Statutes, after October 31, 2025, shall be offset by
18 the increase in benefits provided by this section.

19 SECTION 5. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section 17-116.23 of Title 70, unless
21 there is created a duplication in numbering, reads as follows:

22 A. As used in this section, "funded ratio" means the figure
23 derived by dividing the actuarial value of retirement system assets
24 by the actuarial accrued liability amount of the retirement system

1 using the information reported to the retirement system by its
2 actuary in the annual valuation and which is computed as of a day
3 certain.

4 B. The board of trustees of the Teachers' Retirement System of
5 Oklahoma shall grant a four percent (4%) retirement benefit increase
6 effective November 1, 2025, to the retired members of the system or
7 their beneficiaries if the funded ratio of the retirement system
8 will be at least eighty percent (80%) after the benefit increase is
9 provided to the eligible retirees or beneficiaries.

10 C. If the funded ratio of the retirement system will not be at
11 least eighty percent (80%) after the benefit increase prescribed in
12 subsection B of this section, the board of trustees shall grant a
13 two percent (2%) retirement benefit increase effective November 1,
14 2025, to the retired members of the system or their beneficiaries.

15 SECTION 6. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 930.12 of Title 74, unless there
17 is created a duplication in numbering, reads as follows:

18 A. As used in this section, "funded ratio" means the figure
19 derived by dividing the actuarial value of retirement system assets
20 by the actuarial accrued liability amount of the retirement system
21 using the information reported to the retirement system by its
22 actuary in the annual valuation and which is computed as of a day
23 certain.

1 B. The board of trustees of the Oklahoma Public Employees
2 Retirement System shall grant a four percent (4%) retirement benefit
3 increase effective November 1, 2025, to the retired members of the
4 system or their beneficiaries if the funded ratio of the retirement
5 system will be at least eighty percent (80%) after the benefit
6 increase is provided to the eligible retirees or beneficiaries.

7 C. If the funded ratio of the retirement system will not be at
8 least eighty percent (80%) after the benefit increase prescribed in
9 subsection B of this section, the board of trustees shall grant a
10 two percent (2%) retirement benefit increase effective November 1,
11 2025, to the retired members of the system or their beneficiaries.

12 SECTION 7. This act shall become effective November 1, 2025.

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14 60-1-10047 CMA 10/02/24

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January 7, 2025

Representative Humphrey
Room 301S

Re: RBH No. 10047

RBH No. 10047 provides a benefit increase for the retired members of each of the State's retirement systems. The amount of the increase is 4 % if the funded ratio will be 80% after the increase, otherwise the benefit increase will be 2% .

RBH No. 10047 is a fiscal bill as defined by OPLAAA.

I am a member of the American Academy of Actuaries and meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion herein.

Thomas E. Cummins

Thomas E. Cummins, MAAA